

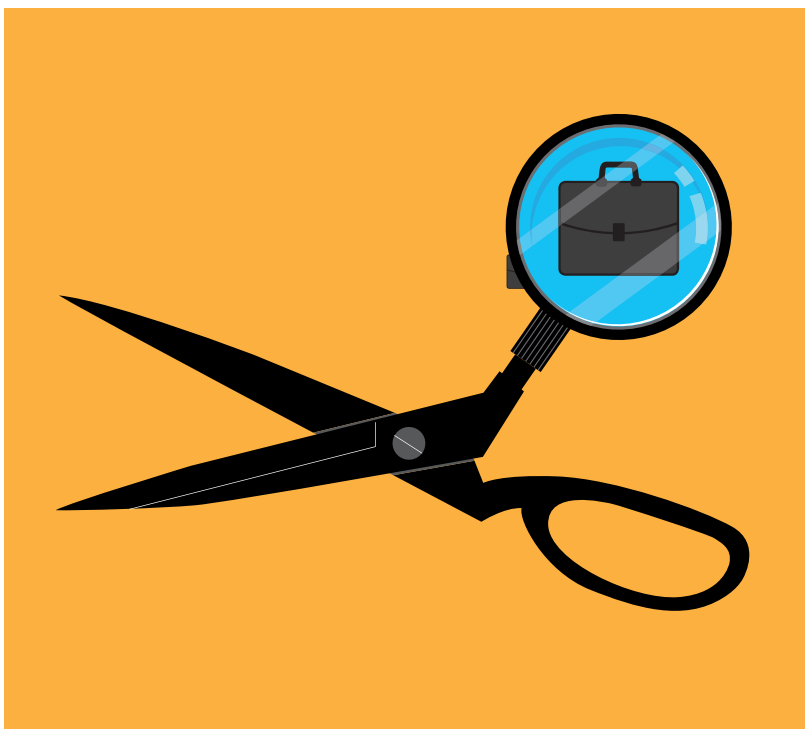


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The circular issued by the CBDT contains several questions and answers seeking to clarify what payments would fall within the ambit of Section 194R of the Act. Let us examine whether the examples set out therein fulfil the above conditions.

Question 1 of the guidelines provides that the deductor is not required to ascertain whether the amount received by the recipient is taxable in his hands or not. The answer to Question 7 specifically provides that reimbursement on out-of-pocket expenses should be treated as a benefit or a perquisite. There are several precedents where it has been held that the provisions requiring deduction of tax at source apply only if the payment contains an element of “income” chargeable to tax in the hands of the recipient and not otherwise. Specifically, a reimbursement of expenses does not confer any benefit to the service provider if the service recipient was under an obligation to incur the same and the reimburse-

ment was agreed upon earlier.

Question 4 obliged a company to deduct tax at source if the benefit is enjoyed by the employees of the distributor. As discussed earlier, for a receipt to be taxable under Section 28 (iv) of the Act, it should arise from business or exercise of the profession. An employee of a distributor cannot be said to carry on a business or profession and a receipt by such an employee ought not to be covered by Section 28 (iv)/194R of the Act.

Finally, the Supreme Court in the case of CIT vs. Mahindra & Mahindra [2018] 404 ITR 1 (SC) and several other cases has held that Section 28 (iv) speaks about a benefit or a perquisite “whether convertible into money or not”. A cash receipt would not be a perquisite or a benefit so covered. But Question 2 of the guidelines enjoins a requirement to deduct tax at source even if a benefit is provided in cash.

Thus, the guidelines go far beyond the purview of Section 28 (iv) and cannot be said to have been issued to

“remove difficulties” arising in giving effect to the provisions of the Section.

Apart from these, there are several other practical issues which arise. These include the point of time when tax is required to be withheld, situations where a recipient does not utilise the benefit, and absence of a valuation methodology from the perspective of a recipient. For example, the CBDT guidelines require that if an expenditure is incurred on a conference, tax is required to be deducted on the leisure component! One can well see the practical difficulties that would arise in implementation.

It is necessary when such guidelines are issued, its draft be put up for comments and they be finalised after obtaining inputs from the stakeholders. Issuing guidelines of this type deviates from the principles of ease of doing business and are likely to create more litigation going forward. **BT**

The writer is CEO of Dhruva Advisors LLP. Views are personal